Indian auto components

Industry deep dive · October 2026

In one paragraph. India's auto component industry reached ₹7.6 lakh crore (about $86 billion) of turnover in FY26, growing 17% a year over five years, four times faster than vehicle volumes. Three forces drove it: more content per vehicle, localisation of parts that used to be imported, and exports. The next leg looks different. Domestic demand is strong after the September 2025 GST cut, but electrification is reshaping what gets bought, US tariffs have stalled the largest export market, and listed suppliers already trade at 30-80x earnings. Companies with powertrain-agnostic products and diversified customers should hold up best.

Key numbers

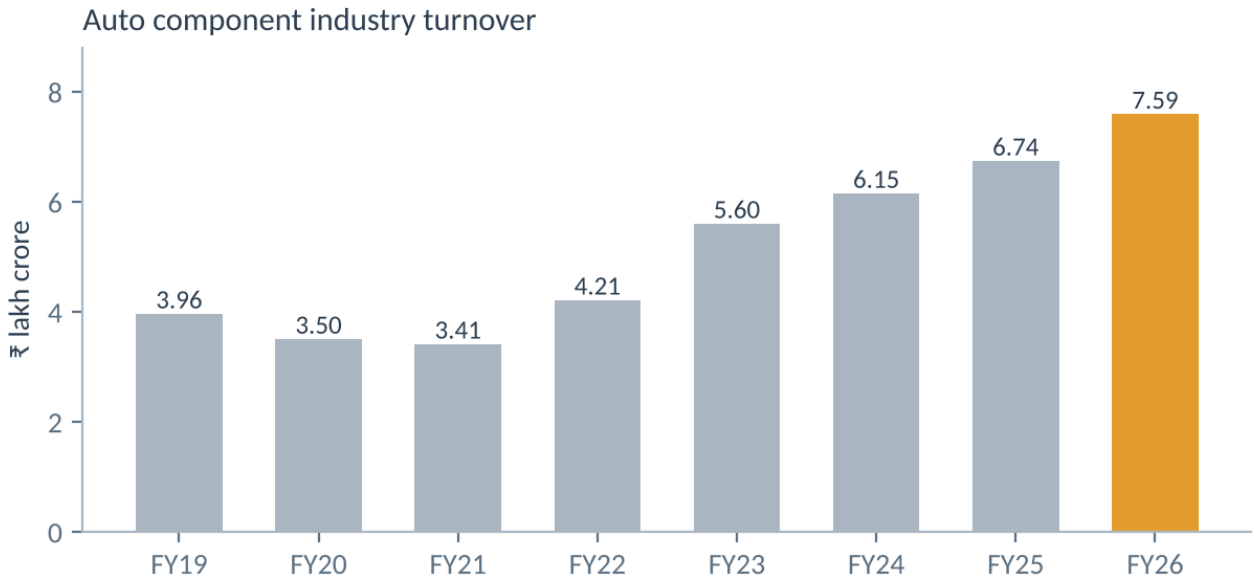
Metric	Value	Source
Industry turnover, FY26	₹7.6 lakh crore (+12.7%)	ACMA
5-year / 10-year turnover CAGR	17% / 12% a year	BCG-ACMA
Exports / imports, FY26	$24.0bn (+5%) / $25.4bn (+13%)	ACMA
Aftermarket, FY26	₹1.08 lakh crore (+9%)	ACMA
Domestic vehicle sales, FY26	28.3 million (+10.4%)	SIAM
Domestic vehicle sales, H1 FY27	15.8 million (+19.8%)	SIAM
Electric 2W share of 2W sales, FY26	6.5%	Vahan via Autocar Pro
Exports to the US, FY26	$6.24bn, ~27% of component exports	Business Today / ACMA

Key takeaways

- **Components outgrow vehicles.** Over the last decade component turnover grew about 12% a year in value while vehicle volumes grew about 3% a year. The gap is content per vehicle: ABS, alloy wheels, electronics, airbags and premium trims.
- **Demand is unusually strong right now.** The GST cut from 28% to 18% on small cars and sub-350cc motorcycles (from 22 Sep 2025) pushed H1 FY27 passenger-vehicle volumes up 28%.
- **Electrification changes the bill of materials.** EV parts were only 4.6% of supplies to Indian OEMs in FY26, but engine and transmission parts face a long decline while castings, brakes, suspension and electronics carry over.
- **Exports have hit a wall in the US.** Exports to the US were flat in FY26; about half face a 25% Section 232 tariff and two Section 301 probes are open. Europe was the fastest-growing export market.
- **The market prices in a lot.** Peer median trailing P/E is around 60x. Endurance, at 35x, is the cheapest quality name, which is the subject of the accompanying stock pitch.

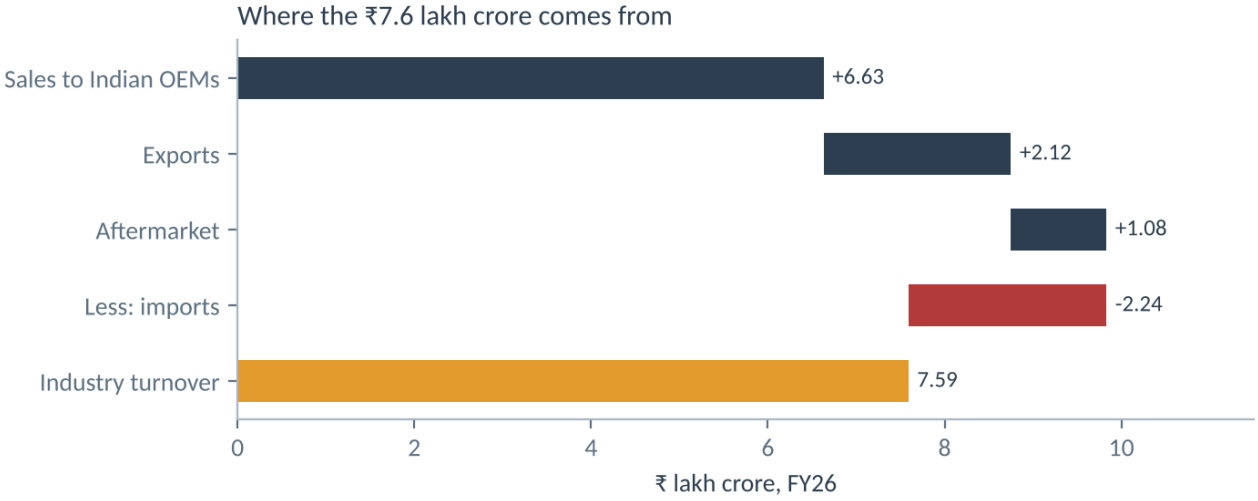
1. Size and structure

India's auto component industry makes the parts that go into vehicles: engine and drivetrain parts, suspension and braking, body and chassis, electricals and electronics, interiors. It sells through three channels: to vehicle makers (OEMs) for new vehicles, to the replacement market (aftermarket), and abroad. Turnover, as ACMA measures it, is OEM supplies plus exports plus aftermarket, less imported parts.



Source: BCG-ACMA 'Beyond Resilience' report via Autocar Professional (Sep 2026). FY16 turnover was ₹2.56 lakh crore. FY20-FY21 dip reflects the BS-VI transition and Covid.

After two flat years around the pandemic, turnover more than doubled from ₹3.41 lakh crore in FY21 to ₹7.59 lakh crore in FY26. Growth is slowing from the post-Covid rebound (FY23: +33%) to a more normal 10-13% a year, but that is still well ahead of vehicle volumes.



Source: ACMA FY26 industry performance review; BCG-ACMA. Imports are implied by ACMA's definition of turnover.

Supplies to Indian OEMs are the core of the industry, at ₹6.6 lakh crore and growing 19% a year over five years. Exports, at ₹2.1 lakh crore ($24bn), are roughly a quarter of turnover. The aftermarket is smaller and slower (9-11% a year) but steadier, because it follows the number of vehicles on the road rather than new sales. India still imports slightly more components than it exports ($25.4bn vs $24.0bn in FY26), mostly from China, Japan and Germany, though localisation has risen from about 60% to above 70% over the decade. Imports of wheels and rims fell about 74% between FY19 and FY26.

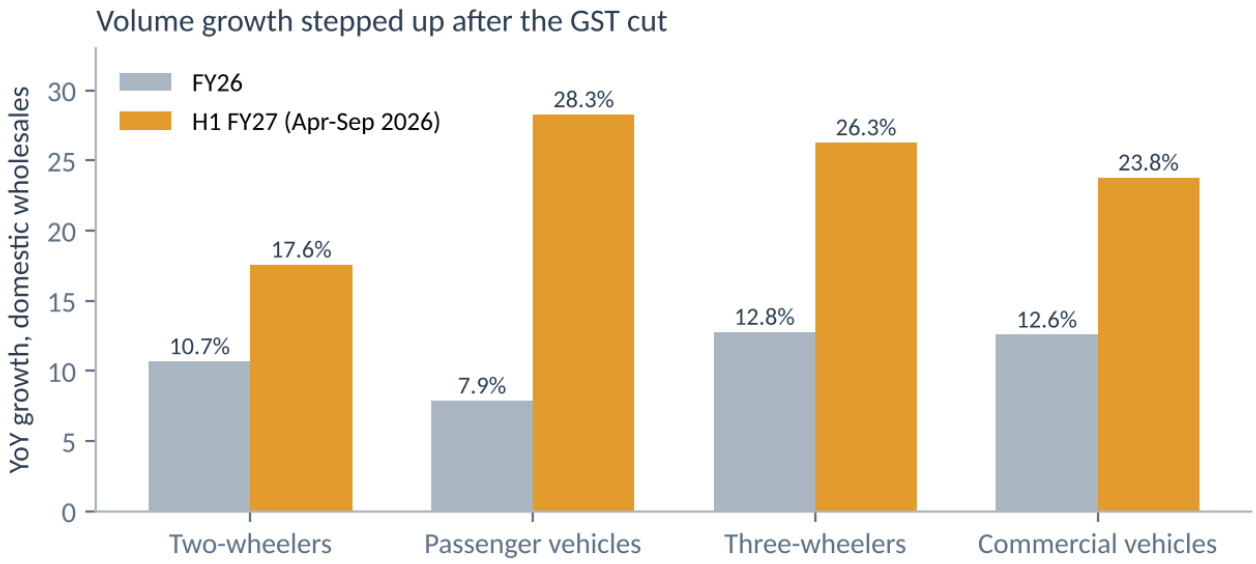
Why components grow faster than vehicles

- **Content per vehicle.** Regulation and buyers are adding parts: ABS on two-wheelers, airbags and electronic stability control on cars, LED lighting, connected features, alloy wheels.
- **Premiumisation.** Scooters and higher-capacity motorcycles are growing faster than entry commuter bikes, and SUVs dominate car sales. Each carries more and more expensive parts.
- **Localisation.** Parts that used to be imported (wheels, engine parts, steering) are increasingly made in India, helped by PLI incentives and import substitution.
- **Exports and 'China+1'.** Global OEMs and Tier-1s are adding Indian suppliers to diversify away from China.

2. Domestic demand: strong cycle after GST 2.0

FY26 was a record year: domestic wholesales of 28.3 million vehicles, up 10.4%, with every segment at an all-time high. Two-wheelers, at 21.7 million units, are three-quarters of volume; scooters (+18.5%) grew much faster than motorcycles (+6.6%). Passenger vehicles grew 7.9% to 4.6 million.

The step change came with the GST rationalisation effective 22 September 2025. GST on small cars and motorcycles up to 350cc fell from 28% (plus cess) to 18%; larger cars moved to a flat 40% with cess removed, and motorcycles above 350cc rose to 40%. EVs stayed at 5%. The result shows in the first half of FY27:



Source: SIAM via Outlook Business (FY26) and Autocar Professional (Q2 FY27, 15 Oct 2026). H1 FY27 also benefits from a low base.

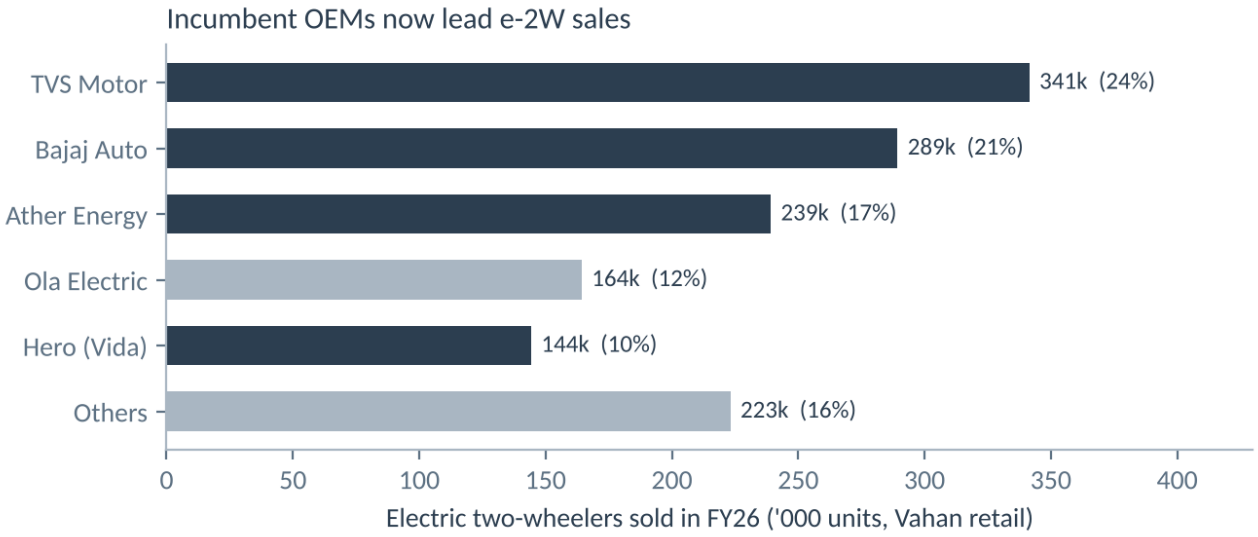
Part of this is a low base and pent-up demand, so growth of 18-28% should not be extrapolated. SIAM expects steady growth in FY27 but flags the West Asia conflict (fuel, freight, commodity prices) as the main risk. The RBI's 25 bp rate increase to 5.5% in October 2026 will also make vehicle loans more expensive at the margin.

What this means for suppliers

Suppliers to scooter makers and small-car makers benefit most from the GST cut. Two-wheeler suppliers have an additional tailwind from ABS: dual-channel ABS for larger motorcycles is a high-value product that few Indian suppliers, Endurance among them, make locally. Suppliers exposed to motorcycles above 350cc face a small headwind from the higher tax rate.

3. Electrification: a change in the bill of materials

India sold about 2.45 million EVs in FY26. Electric two-wheelers were the largest group at 1.40 million units (+22%), or 6.5% of all two-wheelers, up from 6.1% in FY25. The market has consolidated around incumbents: TVS, Bajaj and Hero together sold more than half of all e-2Ws, while Ola Electric's sales halved.



Source: Vahan registrations via Autocar Professional, Apr 2026.

For component makers, the question is which parts survive. ACMA estimates EV-specific components were only 4.6% of supplies to Indian OEMs in FY26 (excluding battery cells), so the transition is gradual, but the direction is clear:

Exposure	Examples	Implication
At risk (ICE-only)	Pistons, fuel systems, exhaust, multi-speed transmissions, clutches	Volumes peak and decline; replacement demand lasts longer
Powertrain-agnostic	Suspension, brakes, wheels, aluminium castings, steering, seating, lighting	Carry over to EVs; often heavier-duty versions (EVs weigh more)
New EV content	Battery packs and BMS, motors and controllers, DC-DC converters, chargers	New revenue pools, but competition from Chinese suppliers and OEM in-sourcing

Aluminium die-casting is a good example of a part that gains from electrification: motor housings, battery enclosures and lightweight structures replace steel. Endurance reports ₹1,806 crore of cumulative EV orders, spread across castings, brakes, suspension and battery packs, and in Europe nearly half of its five-year order book is for EVs and another 39% for hybrids.

4. Exports and trade: the US stalls, Europe opens

Component exports grew only 5% in FY26 to $24.0 billion, after a 17% five-year CAGR, while imports grew 13% to $25.4 billion. Engine components, drive transmission and steering made up more than half of exports, and Europe was the fastest-growing destination.

	FY25	FY26	Change
Exports ($bn)	~22.9*	24.0	+5%
Imports ($bn)	~22.5*	25.4	+13%
Exports to the US ($bn)	6.18	6.24	+1%
US share of exports		~27%	

** FY25 export and import figures back-calculated from the FY26 growth rates. Sources: ACMA; Business Today (7 Jul 2026).*

The US problem

The US is India's largest component market, but exports there were flat in FY26. Nearly half of those exports fall under Section 232 and pay a 25% tariff. Two Section 301 investigations are running in parallel: one on labour practices has proposed a 12.5% tariff (not stacked on Section 232 goods), and one on subsidy-driven overcapacity has no outcome yet. ACMA disputes both allegations and is pinning its hopes on the India-US trade negotiations. ACMA has also reported that some US automakers are holding back new sourcing decisions until tariffs are clear.

The European opportunity

Europe grew fastest in FY26, and trade agreements with the EU and UK should help further. The opportunity is structural: European OEMs are cutting costs while shifting to EVs and hybrids, and Chinese brands are taking share in Europe (EU registrations ex-Chinese OEMs grew only 3% in Endurance's Q1 FY27 data). Indian suppliers that already have European plants, such as Endurance (Italy and Germany), Sona BLW and Motherson, are best placed. The cost of that presence is energy: Italian electricity prices were up 22% year on year in Q1 FY27.

5. Policy support

Policy	What it does	Status
PLI for Auto & Auto Components	Incentives on incremental sales of approved advanced-technology vehicles and components with certified domestic value addition	₹25,938 cr outlay, FY24-FY28. ₹35,657 cr invested and ₹2,322 cr disbursed by end-2025
GST 2.0 (Sep 2025)	Cut tax on small cars and sub-350cc 2Ws from 28% to 18%; EVs at 5%	In force; main driver of FY27 volume growth
Free-trade agreements	Lower tariffs into the EU and UK; US deal under negotiation	Supportive for exports, US outcome uncertain
State incentives	Capital subsidies for new plants (e.g. Maharashtra package for Endurance raised from ₹600 cr to ₹858 cr)	Lowers effective capex for greenfield plants

Sources: Angel One summary of PLI-Auto progress (Jan 2026); Autocar India (GST, Sep 2025); Endurance Q1 FY27 results.

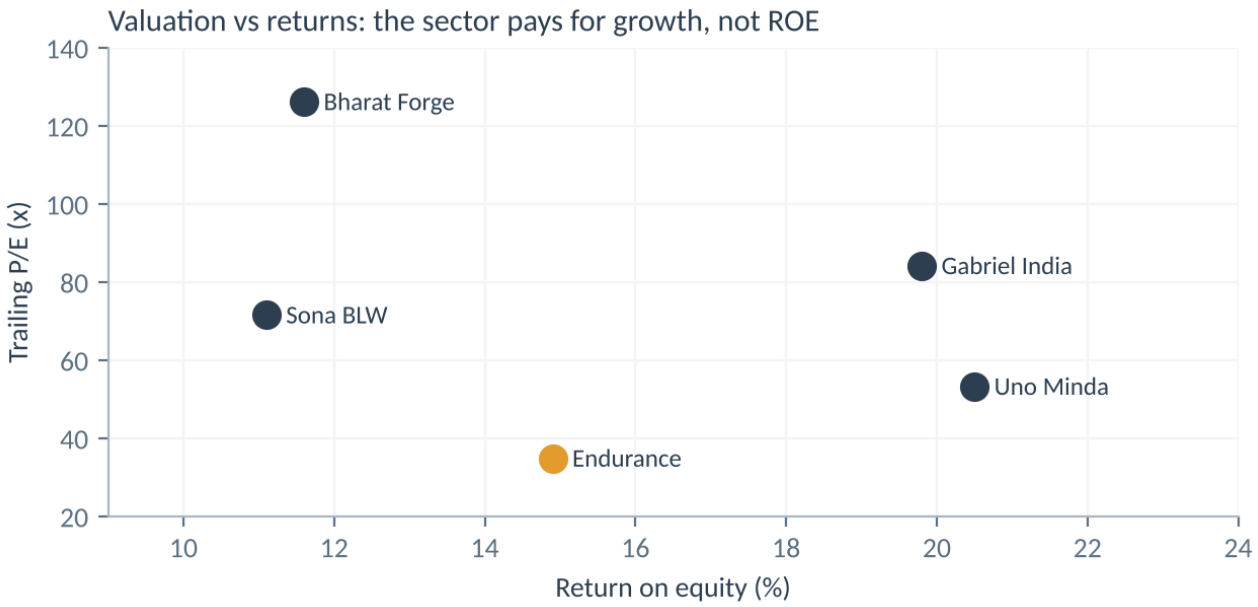
PLI matters less for the established component makers than for companies building new EV and electronics capacity, because incentives apply to incremental sales of approved advanced-technology products. Disbursements only began in FY25, so most of the scheme's cash is still ahead.

6. Competitive landscape and valuation

The industry is fragmented, and the top listed companies each specialise in a few product families. Scale advantages come from tooling and engineering capability, long OEM approval cycles for new parts, and proximity to OEM plants.

Company	Core products	Mkt cap (₹ cr)	P/E (TTM)	ROE
Endurance Technologies	Castings, suspension, brakes, alloy wheels; 2W focus + Europe	33,829	34.9x	14.9%
Uno Minda	Lighting, switches, alloy wheels, EV components	64,110	53.3x	20.5%
Sona BLW Precision	EV driveline, differential gears, motors	49,859	71.6x	11.1%
Gabriel India	Shock absorbers and suspension	25,075	84.2x	19.8%
Minda Corporation	Wiring harness, locks, sensors	15,537	31.0x	n/a
Bharat Forge	Forgings, industrial and defence	89,129	126.2x	11.6%

Sources: Value Research (prices 5-16 Oct 2026), 5paisa (Minda Corp), Screener (Endurance ROE).



There is little relationship between returns on equity and valuation. Investors are paying for expected growth and EV exposure: Sona BLW, with an 11% ROE, trades at 72x earnings, while Endurance, with a 15% ROE, trades at 35x. A sector-wide P/E around 60x implies many years of very high earnings growth, which few industrial businesses have delivered. That is why the accompanying DCF of Endurance comes out well below its market price, even though it looks cheap against peers.

7. Risks

Risk	Why it matters	Who is most exposed
Commodity and energy costs	Aluminium, steel and energy are passed on to OEMs with a lag of one or two quarters; margins dip in between	Casting and forging makers; European plants
US tariffs	25% on about half of US-bound exports, more possible from Section 301 probes	Export-heavy suppliers (engine parts, forgings)
EV disruption of ICE parts	Transmission and engine parts lose volume as EV share rises	Single-product ICE suppliers
Customer concentration	Many suppliers depend on one or two OEMs (e.g. Bajaj was ~50% of Endurance's standalone revenue in FY25)	Captive-style suppliers
Cyclicality	Vehicle demand follows rates, fuel prices and rural incomes; FY27 growth is flattered by a low base	All, especially those that added capacity for the boom
Valuation	Sector multiples assume long, uninterrupted growth	Highest-multiple names

8. Outlook: what to watch

- **Margins in H2 FY27.** Whether suppliers pass through input-cost increases. Endurance's standalone margin fell from 13.0% to 11.2% in Q1 FY27.
- **Volume growth after the festive season**, once the GST-driven pull-forward and low base wash out.
- **The India-US trade deal** and the outcome of the Section 301 overcapacity probe.
- **E-2W penetration** moving from 6.5% toward double digits, and how much of the EV bill of materials Indian suppliers capture versus imports.
- **Capex discipline.** Many suppliers are building new plants; returns depend on filling them.

Bottom line. The industry's long-term growth case is intact and well supported by content per vehicle, localisation and exports. In the near term, demand is strong but flattered by tax cuts and a low base, margins are under input-cost pressure, and the US export channel is stuck. With listed peers on 30-80x earnings, stock selection should favour powertrain-agnostic products, diversified customers and a reasonable price, and be wary of paying today for growth that is a decade away.

Sources

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This report is student research written for learning purposes. It is not investment advice. Figures are as reported by the sources above on the dates shown; some peer data is two weeks older than the rest.